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The Ostrich Syndrome

Money ranks with love as man's greatest source of joy and with death as his greatest source of anxiety.

Many young adults behave like ostriches when they encounter financial problems, hiding their head in the sand. If they ignore the problem, then it doesn't exist. Sometimes the problem seems so overwhelming or insurmountable that denial becomes the most attractive solution. But avoidance of debt problems leads not only to blemishes on your credit report, but could also snowball into foreclosures, repossessions, and judgments.

In a 2004 Nellie Mae Study of undergraduates and credit card usage, approximately 37 percent said they felt very or extremely anxious about their ability to make their monthly credit card payments. Moreover, some university administrators routinely cite financial mismanagement as a crisis among college students.

Overwhelming debt combined with a lack of knowledge about how to manage it can easily lead to avoidance. Sixteen percent of students (ages sixteen to twenty-two) polled believed that avoiding money problems was mostly a matter of luck, according to ASEC's Youth and Money survey. It is easy